

Division of labour



A single man producing a pin would have to master many steps: straightening the metal, sharpening the point, attaching the head and so on. As Adam Smith observed, he would probably not manage to make many pins in a day. However, if the work was divided up so that different workers specialized in particular tasks, then a division of labour would be created. One worker might straighten the metal, another would sharpen the point, still another attach the head. Each worker would become skilled in his own specialized task, and many more pins would be produced than by the same number of workers carrying out all of the steps themselves.

The division of labour is an important source of productivity improvement. Adam Smith argued that it is what drives the growth of economies as markets expand and firms specialize in particular goods. Today, the division of labour and the

'production line' approach extends globally, as producers outsource the manufacture of components to overseas firms.